Guide to ESRS Aligned

SUSTAINABILITY REPORTING

Best Practices and Key Elements

Best Practices in ESRS Reporting

The **European Sustainability Reporting Standards** (ESRS) have become essential for **corporate transparency and accountability,** requiring detailed sustainability information from companies. Understanding and complying with these standards can be complex. This guide will outline the **essential elements of ESRS compliance**, drawing on exemplary practices from **15 ESRS-aligned reports** to ensure thorough coverage of **mandatory sections** while highlighting effective strategies and key elements to meet regulatory standards.

Content and structure of the sustainability statement

According to **Appendix F of ESRS 1** and its accompanying guidelines, the sustainability statement, which can be **included in the management report**, must be organized into four parts:

- General Information
- Environmental Information
- Social Information
- Governance Information

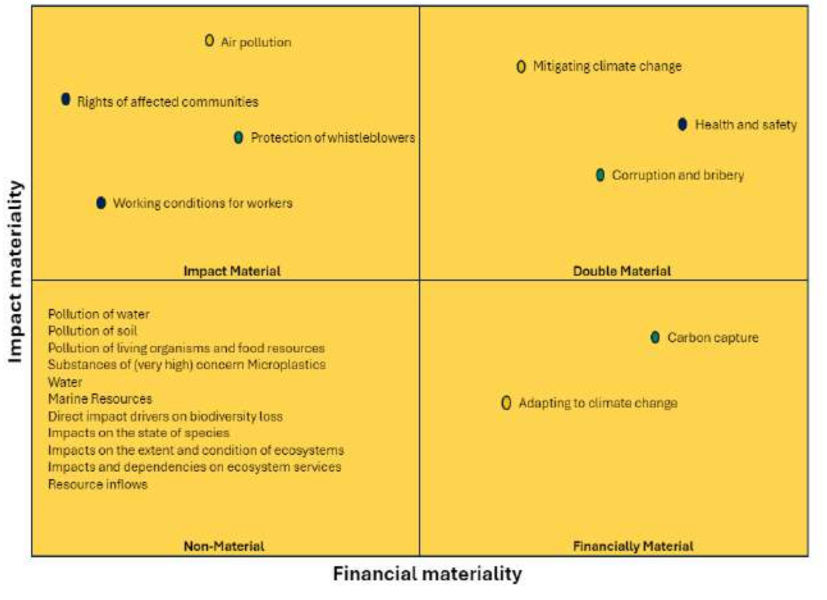
Double materiality assessment

ESRS mandates a double materiality assessment considered as the cornerstone of sustainability reporting, identifying impacts, risks, and opportunities **(IRO-1) as per ESRS 2, Section 4.1**. It is recommended to include a **dedicated section for double materiality assessment**, detailing the process of identifying and assessing material IROs, including scoring approaches, stakeholder engagement, and graphical outputs.

As per our analysis of the 2023 ESRS aligned reports

- Reports adhere to requirements by including a comprehensive **list of the Disclosure Requirements complied** with in preparing the sustainability statement, as guided by ESRS 1 **chapter 3**.
- Some companies have not transparently disclosed their threshold analysis, which is mandatory (IRO 1&2) for demonstrating the future applicability of material topics.
- If climate change is deemed **non-material**, detailed explanations and **forward-looking analyses** must be provided.

Chart 1 - Double materiality assessment matrix



General disclosures

In addressing **ESRS 2** **general disclosures** for sustainability reporting, it's crucial to recognize its **mandatory** nature for all companies within the Corporate Sustainability Reporting Directive (CSRD) scope. This standard outline **essential information** to be disclosed, irrespective of the sustainability topic being covered. Recent trends underscore a heightened emphasis on **visual representation**, particularly through charts, enhancing both comprehension and engagement.

Due Diligence

Governance-related disclosures are a vital part of ESRS 2, detailing the composition, roles, responsibilities, and expertise of companies' **governance bodies**. Due diligence is the process by which undertakings identify, prevent, mitigate, and account for how they **address** the actual and potential **negative impacts** on the environment and people connected with their business. Due diligence process is described in the international instruments of the **UN Guiding Principles** on Business and Human Rights and the **OECD Guidelines** for Multinational Enterprises.

Table 1 - GOV-4 Disclosure of mapping of information provided in sustainability statement about due diligence process

Core elements of due diligence	Relevant DR	Paragraph in the sustainability statements	Does the disclosure relate to people or environment
a) Embedding due diligence in governance, strategy and business model	ESRS 2 GOV-2	Page 16	People and Environment
b) Engaging with affected stakeholders in all key steps of the due diligence	ESRS 2 GOV-2	Page 16, 25, and 26	People and Environment
c) Identifying and assessing adverse impacts	ESRS 2 IRO-1	Page 26	People and Environment
d) Taking actions to address those adverse impacts	E1-1	Page 38	Environment
e) Tracking the effectiveness of these efforts and communicating	ESRS 2 MDR-T: E1-4	Page 48, 70	Environment

How to avoid gaps in ESRS 2 GOV

Some reports lack **due diligence disclosures**, resulting in gaps. It is crucial to emphasize that companies must include due diligence disclosures (GOV-4) as they fall under the **mandatory disclosure** requirements.

- Present due diligence statements **(GOV-4) in tabular form** outlining the **five core elements** of due diligence and their relation to people and/or the environment. **(Refer table-1)**
- Provide a **mapping** that explains how and where their application of the main aspects and **steps of the due diligence** process are reflected in their **sustainability statement**, depicting their actual due diligence practices.
- Explanation of how the company initiates the due diligence process in relation to **climate-related risks and opportunities,** aligning with ESRS requirements.

General disclosures

Strategy and Business Model (SBM)

SBM disclosures require companies information's on how their **strategies** align with sustainability goals, how their **business model** incorporates **sustainable practices**, and how their **value chain activities** impact sustainability. Meeting this disclosure requirement helps stakeholders to understand the company's approach to sustainability and its commitment to **responsible business practices**.

- As per our analysis of the 2023 ESRS aligned reports SBM section is presented in a **table format** alongside **key stakeholder engagement** and purpose outcomes, ensures clarity in conveying organizational objectives.
- Furthermore, providing details on **location in the value chain**, and **time horizon** considerations, enhances **transparency** and understanding.

Table 2 - Strategy, business model and value chain (SBM-3)

Climate change	Impact and Risk	Location in the value chain			Time horizon		
		Upstream	Own operations	Downstream	Short-term	Medium-term	Long-term
Value chain GHG emissions	Actual negative impact	Y			Y	Y	Y
Value chain energy consumption	Actual negative impact	Y			Y	Y	Y
GHG emissions from own operations	Actual negative impact		Y		Y	Y	
Shift away from air to less carbon-intensive modes	Risk			Y	Y	Y	
Inability to meet emissions targets	Risk	Y	Y		Y	Y	Y

Adherence to Minimum Disclosure Requirements (MDRs)

Central to **ESRS 2** general disclosures is the **fulfilment of Minimum Disclosure Requirements (MDRs),** ensuring transparency regarding **policies, actions, and targets** aimed at addressing sustainability matters. As per ESRS *"If the undertaking cannot disclose the information prescribed by either the Disclosure Requirements and datapoints in the topical or sector-specific ESRS or the Minimum Disclosure Requirements in ESRS 2 on policies actions and targets because it has not adopted the respective policies implemented the respective actions or set the respective targets it shall disclose this to be the case and it may report a timeframe in which it aims to have these in place".*

- *As per the analysis companies often **link** to their sustainability **policies on their websites**, demonstrating **transparency** and stakeholder engagement. However, some **fail to identify MDR**, especially when specific policies or targets are absent.*
- *Companies must **ensure overall disclosure** relevance remains intact, and **exemptions** must be carefully **assessed** to maintain **legal compliance**.*

Topical standards

Sustainability matters to be included in the materiality assessment are detailed in **AR 16 of the ES**RS. This list guides companies in determining **material matters** and corresponding **Disclosure Requirements** in relevant **topical ESRS**. By the result derived from **Double materiality assessment** companies will derives the topics that are material to them with that they will choose in topical standards. Topical standards should be represented three sections **refer table 4** .

Table 3 – ESRS Topical standards

Environment	Social	Governance
E1 Climate Change	S1 Own workforce	G1 Business conduct
E2 Pollution	S2 Workers in the value chain	
E3 Water and marine resources	S3 Affected communities	
E4 Biodiversity and ecosystem	S4 Consumers and end users	
E5 Resource usage and circular economy		

Significance of topical standard

The **topical standards** of ESRS provide guidance on the **measurement and reporting** of sustainability performance using relevant **indicators and metrics**, keeping in mind the international frameworks such as the **Global Reporting Initiative (GRI)** and the **Sustainability Accounting Standards Board (SASB)** ensures consistency and **comparability** across **reporting standards** globally. Thus, it promotes the alignment of **financial, and ESG** information in a single, cohesive report.

Key elements of topical standard

- The topical ESRS standards **complement** the general disclosure requirements outlined in **ESRS 2.** mandate disclosures on **policies, targets, and actions** for material matters, must fulfil **MDR statement**.
- **Entity-specific disclosures** are disclosed along topical standards is provided by a company when standard requirements do **not fully cover** significant impacts **IRO** in the value chain. These disclosures include **necessary metrics** and information to ensure stakeholders can fully understand the company's **material IROs** related to environmental, social, or governance matters.
- **Sector specific ESRS** should be grouped by reporting area and by sustainability topic. These disclosures should be presented alongside by **ESRS 2** and the corresponding **topical ESRS**.
- Companies are required to disclose **material topics** for which they are **availing phased-in provisions**, as per **Appendix C of the ESRS 1** list outlines phase-in provisions for Disclosure Requirements that may be **omitted** or are not applicable in **the initial year** of preparing the sustainability statement under ESRS.

Steps to avoid gaps in topical standard

Best Practises observed in ESRS aligned reports

- By our analysis, companies aligned with the ESRS follow a **structured approach**. They clearly outline each **section of topical standards** and their **Disclosure Requirements titles**, making it easy for readers to navigate the content and locate specific information.
- companies frequently adhere to the predefined **tables** outlined in each **topical standard's application requirements**. By incorporating various **data presentation** formats such as tables, graphs, and charts, companies make complex information more digestible and facilitate **better alignment** with ESRS standards.

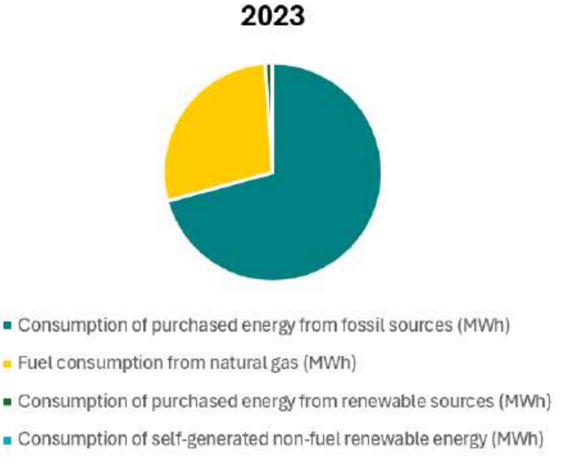
Table 4 - E1-5 Energy consumption mix of a company

Proforma energy and climate data	2021	2022	2023
Fuel consumption from natural gas (MWh)		5,857	6,386
Total fossil energy consumption (MWh)	16,613	19,371	22,476
Share of fossil sources in total energy consumption (%)	100	100	99
Consumption of purchased energy from renewable sources (MWh)			242
Total renewable energy consumption (MWh)			255
Total energy consumption (MWh)	16,613	19,371	22,731

Steps to avoid gaps in topical standard

- Transparently **disclosing any omitted disclosures** fosters trust with stakeholders. It demonstrates a **commitment** to integrity and ensures that **stakeholders** are aware of what information is included and what is not, thereby preventing **misinterpretations**.
- **Historic data** should be provided wherever possible, to increase **comparability** of progress, **year on year basis**. This will increase **trust** and confidence of the stakeholders.
- Ensure **appropriate disaggregation** (**data** from different levels or **multiple locations** within a level) in reporting by considering **the materiality assessment**, avoiding the aggregation of materially different items.
- Disclose **transparent information** estimation and using **sector averages and proxies** in accounting policies wherever applicable.

Figure 1 - Energy consumption mix of a company



Alignment with other standards

In their **2023 ESRS-aligned reports**, companies reinforce their commitment to trust and transparency by disclosing **adherence to EU regulations** and other **global standards**. This comprehensive approach highlights their dedication to maintaining **high reporting standards** and accountability.

EU Taxonomy

- As part of ESRS requirements, companies **must report** under the **EU Taxonomy** Regulation, detailing activities that **comply or do not comply** with the criteria for substantial contribution, including **Capex plans**.
- EU Taxonomy data can be represented under the **Environment section** in ESRS, as the **activities listed** in the EU Taxonomy are **sustainable** and do not harm any other objectives.
- These often represented in reports in table formats highlighting the listed activities

Global standards

- As per analysis of ESRS-aligned reports, companies that also **report** on frameworks such as **SASB** and **GRI** prefer giving references of these disclosures in the **index**.
- These standards **align** well with **ESRS**; for instance, **GRI Universal Standards** are compatible with ESRS disclosures on **IRO and GOV.**
- These **information's** should be carefully **cross-referenced** in the **ESRS index** with DR titles, page numbers, and **relevant standard indices**.

Appendix-B Alignment with other EU standards

- **Appendix B** is an integral part of **ESRS 2 general requirements**. It provides a list of data points from both **cross-cutting and topical standards** that originate from other **EU legislation**. These data points assist companies in meeting their reporting obligations, especially for **financing transitions** under initiatives like the '**EU Green Deal**.'
- Companies are required to disclose these data points to **fulfil** their reporting **obligations under ESRS**. If a company **omits any information** because it is not material as prescribed by a data point derived from other **EU legislation listed in Appendix B**, they must explicitly state that the information is **"not material."**

Table 5 – Disclosure of alignment with other EU standards

Disclosure Requirement and related datapoint	SFDR reference	Pillar 3 reference	Benchmark Regulation reference	EU Climate Law reference	Material/ Not material
ESRS 2 GOV-1, Page 40, 43	Indicator number 13 of Table #1 of Annex 1		Commission Delegated Regulation (EU) 2020/1816, Annex II		Material
ESRS 2 GOV-1, Page 40, 43			Delegated Regulation (EU) 2020/1816, Annex II		Material
ESRS 2 GOV-4, Page 52	Indicator number 10 Table #3 of Annex I				Not material
ESRS 2 SBM-1	Indicators number 4 Table #1 of Annex I	Article 449a Regulation (EU) No 575/2013: Commission Implementing Regulation (EU) 2022/2453	Delegated Regulation (EU) 2020/1816, Annex II		Material

Other key elements in a CSRD report

Assurance Statement

ESRS **mandates limited assurance**, with a possible transition to **reasonable assurance in future**. Companies must follow standards like **ISAE 3000** until a specialized sustainability standard **ISSA 5000**, is established. Companies required to give **assurance statements** as a **separate section** at the end of the report detailing their chosen assurance **standard and process**.

However, in some **2023 published ESRS reports**, specific **KPIs** subject to **limited assurance** are not clearly outlined, potentially **affecting transparency** and stakeholders' confidence in the reported information. Properly listing KPIs is essential to improve transparency.

Guide to ESRS Index

The analysis of 2023 published ESRS reports shows that **companies** prefer **providing an ESRS index**, similar to the GRI index and other sustainability standard indices. In addition to ESRS index companies also prefer giving **content index** before **each topical standard**. This practice helps make the reported information traceable, enhancing its credibility and transparency.

Following are key features of the ESRS Index:

- The ESRS index should be arranged according to the **order of ESRS topical standards** along with their **DR titles**. It must include accurate **page references** that guide readers to relevant information on each topic for easy reference.
- The **content index** should allow entities to enjoy flexibility in the presentation of standardized **sustainability information** while making the standardized information **identifiable** within the **management report**.

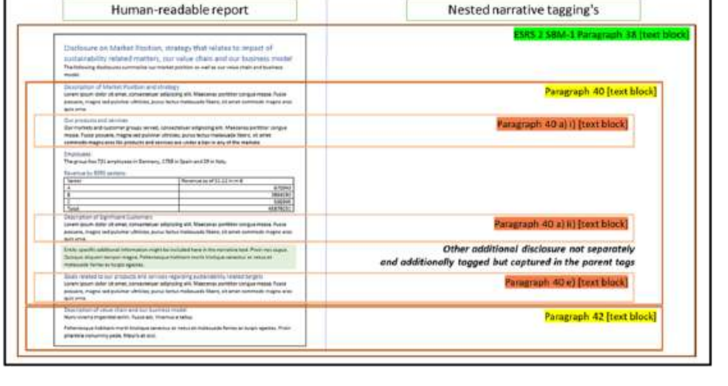
XBRL inline tagging

EFRAG has adopted the **draft ESRS XBRL taxonomy** for digitally tagging sustainability reports. Going forward, companies subject to the CSRD will need to **disclose** their reports in this **electronic format**. This will enhance the accessibility of sustainability information and improve transparency.

- Sustainability disclosures will be published using the **European Single Electronic Format (ESEF)**, which includes both a substantive and a technical component.
- The **ESRS XBRL taxonomy** defines the reporting language, specifying exactly how **data points** should be disclosed.
- Under the CSRD, **all disclosures** must be **tagged with iXBRL**, ensuring that each sustainability data point is precisely labelled.

Figure 2 - ESRS XBRL Taxonomy reference

Figure 2. Illustration of the nesting of (narrative) XBRL tags by using an artificially tagged illustrative report on the left and the taxonomy hierarchy on the right. The text displayed against the green background is supposed to mimic an additional datapoint of the entity that is not part of hierarchy.



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Valli
Sustainability Consultant

Sotanik
ESG Solution Specialist

Vishakha Goel
Sustainability Head